Our vehicles: We are developing new standards for climate protection on the road

GRI 103-1

The Paris Agreement on climate protection establishes the goal of limiting global warming to significantly less than two degrees Celsius compared with the preindustrial level. In their climate protection plans, the signatory countries define their ambitious goals for reducing greenhouse gases overall and in individual sectors. For example, the climate protection plan of the German government aims to reduce total CO_2 emissions in the transport sector by 40 to 42 percent relative to 1990 levels by 2030.

EU regulations focus on new vehicles and prescribe the following reduction targets: By 2030, the CO_2 emissions of cars should be reduced by 37.5 percent relative to the base values of 2021; those of vans should be reduced by 31 percent. An intermediate target of 15 percent to be achieved by 2025 has been set for each of these two vehicle groups. Heavy-duty commercial vehicles must reduce their CO_2 emissions by 15 percent on average relative to the reference period 2019/2020 by 2025 and by 30 percent on average by 2030. Moreover, the overarching EU climate target within the framework of the EU Green Deal was adjusted from the current minus 40 percent to at least minus 55 percent for the period from 1990 to 2030. Against this background, we assume that the EU standards for new vehicles will also become much more stringent.

For us, the Paris Agreement represents more than just an obligation; our commitment to its targets stems from our fundamental convictions. We believe that it is our mission to develop technical innovations that will lead to CO_2-neutral mobility around the world. We realize that this mission will require a high level of investment. In order to finance it, we intend to increasingly use new tools such as green bonds in the future. Green bonds offer environment-oriented investors the opportunity to directly participate in the implementation of our technological strategy. However, the broad-based success of low-emission mobility requires not only sustainable investment but also favorable framework conditions. We need ambitious CO_2 pricing systems for fossil fuels and the creation of a comprehensive charging infrastructure as well as a hydrogen filling station network.

Our product development takes emissions into account from the start

GRI 103-2

Daimler has set itself the goal of developing products that are especially environmentally friendly and energy-efficient in their respective market segments. Our environmental and energy guidelines define how we intend to reach this goal. Product development plays a key role in this regard: A vehicle's environmental impact – including its emissions of CO_2 and pollutants – is largely determined during the first phases of its development. The earlier in the development process we take environmental aspects into account, the more efficiently we can minimize the environmental impacts of our vehicles.

We systematically test the environmental friendliness of future products. An important tool in this process is the ongoing documentation of the development process. For every vehicle model and every engine variant, we define specific characteristics and target values – for example, for fuel consumption and pollutant emissions. We also use these target values to assess the milestones we pass in the course of product development. To this end we compare the current status of the project with the target values. If necessary, we initiate corrective measures on the basis of this assessment.

How we embed responsibility for more environmentally friendly vehicles in our organization

Our corporate management is responsible for setting our strategic goals, including targets for reducing our CO_2 emissions, and for monitoring our progress toward them. The Product Steering Board (PSB) monitors the development of the car fleet's CO_2 emissions in markets where such emissions are regulated. It is also responsible for providing forecasts. In its evaluations, the PSB takes into account the increasing degree of vehicle electrification and the changes that have been made to legal requirements, for example those related to the introduction of the new WLTP test procedure. The Board of Management then decides which measures need to be implemented. On the market side of the equation, price and volume control measures can also affect our ability to achieve our targets in the short term. For this reason, these measures are also discussed with the Board of Management within the framework of the regular reporting on the current state of CO_2 fleet compliance.

Responsibility for ensuring compliance with climate protection requirements is split between several units and Board of Management members. The development units of the vehicle divisions are responsible at the vehicle level. For cars and vans, these are the "Drive Systems Product Group" development unit, the product groups of the vehicles, and Mercedes-Benz Vans Development; for trucks and buses, they are the "Global Powertrain & Manufacturing Engineering Trucks" unit and the vehicle divisions. The various directorates of the drivetrain development units also play a special role here. The heads of production are responsible at the level of the production plants, and the Heads of Sales at the Daimler showrooms.

Our CO_2 balance applies to the entire life cycles of our products

GRI 305-3

Most of our CO_2 emissions are generated during the use phase of the vehicles. But greenhouse gas emissions are also generated in other segments of a vehicle's life cycle, and we take that into account in our overall CO_2 balance sheet. We record the key figures we need for life cycle assessments and publish them in line with the basic principles of the Greenhouse Gas Protocol.

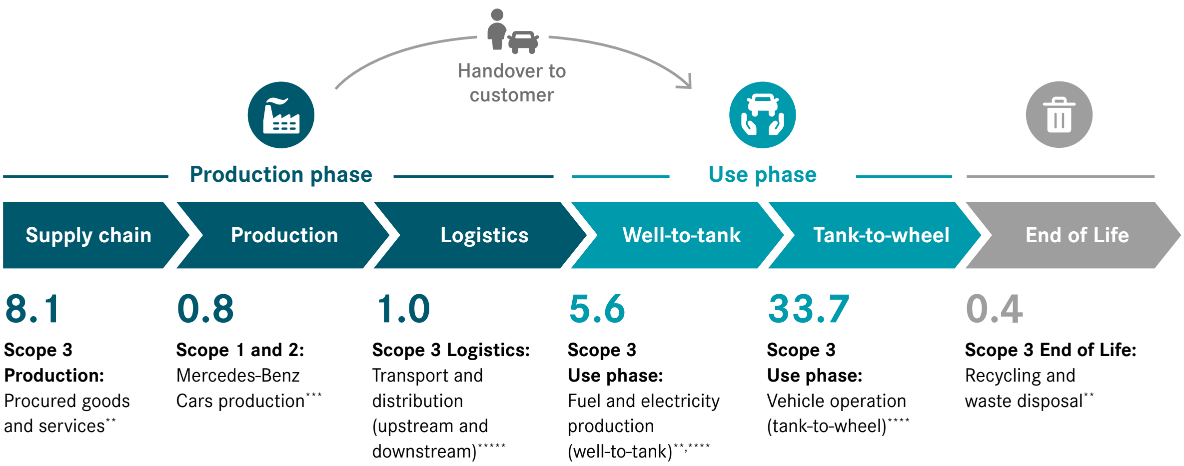
In line with this leading global life cycle assessment standard, we divide our CO_2 emissions into three categories called the Greenhouse Gas Scopes. Scope 1 comprises all the emissions we cause ourselves through the combustion of energy carriers at our production locations, such as the generation of electricity by our own power plants. Scope 2 includes all emissions that arise due to the generation of energy we purchase from external sources, such as electricity. Scope 3 includes all the emissions that are generated before (upstream of) or after (downstream of) our production operations. For example, Scope 3 includes the CO_2 emissions that arise in the supply chain (purchased goods and services), as a result of our vehicles' operation in customers' hands (the use phase, including the production of fuel and electricity) or in the recycling phase of the vehicles.

We have used these principles to calculate the emissions of the entire life cycle of the Mercedes-Benz car fleet worldwide. For 2020 we calculated an average CO_2 value of 49,7 tons per vehicle (see Diagram 9 in comparison with 2019 logistics were included for the first time).

Scope 3 emissions Mercedes-Benz Cars

9 | Scope 1, 2 and selected Scope 3 CO_2 emissions in tons per vehicle Mercedes-Benz Cars (2020)

GRI 305-3



* For calculation basis see appendix How we calculate and document our CO_2 emissions and Scope 3 emissions Mercedes-Benz Cars
** See life cycle assessment of vehicles
*** See key figures environment
**** Driving emissions of Mercedes-Benz Cars fleet (EU, China, USA and RoW) standardized, mileage: 200,000 km, for data basis see chapter Climate protection: Our CO_2 emissions – in all of our fleets
***** Forecast value

Across all divisions: Our future is electric

We are developing all-electric and electrified model variants for all of our vehicle types – from cars and vans to trucks and buses. Thanks to our modular development approach, we can quickly transfer technologies between our divisions.

Our development focus is on battery-electric mobility for cars and vans, and on all-electric drive systems with batteries or fuel cells for trucks and buses.

That's why Daimler is also continuing to develop highly efficient combustion engines that can also be powered by e-fuels. That's yet another way we can help to further reduce the CO_2 emissions of future vehicle generations. However, e-fuels are still very expensive to produce today. In order to further develop them and bring them into circulation, we need suitable regulatory approaches. One important regulation in this area is the Renewable Energy Directive of the EU, which sets ambitious quotas for bringing synthetic fuels (including green hydrogen) into circulation. We are actively supporting this regulation through the political representation of our interests.

Partnerships

10 | Alternative drive systems Mercedes-Benz Cars*

		2019		2020	
Worldwide	Hybrid	29,907	1.2%	115,191	5.2%
	Electric drive	19,622	0.8%	47,672	2.2%
	Alternative drive systems (total)	49,529	2.0%	162,863	7.4%
	MBC unit sales (total)	**2,456,347**		**2,202,579**	
Europe	Hybrid	16,091	1.7%	104,113	14.1%
	Electric drive	18,419	1.9%	42,711	5.8%
	Alternative drive systems (total)	34,510	3.6%	146,824	19.9%
	MBC unit sales (total)	**954,912**		**738,957**	

* retail Mercedes-Benz Cars (incl. V- and X-Class)

As part of the effort to decarbonize transportation, Daimler Trucks & Buses relies on two complementary technologies: all-electric drive systems that use either batteries or fuel cells. By offering these two options, Daimler Trucks & Buses can optimally meet its customers' needs. The following rule of thumb applies: The lighter the payload and the shorter the distance, the more suitable a battery-electric truck is for the job. The heavier the payload and the longer the distance, the more a fuel-cell vehicle becomes the better option.

In November 2020 the Volvo Group and Daimler Truck AG signed a binding agreement to establish a joint venture for the development to series maturity of fuel-cell systems, their production, and their marketing. The focus is on utilization in heavy-duty trucks, but the systems will also be offered for other applications. By joining forces, the two companies can reduce their development costs and accelerate the market launch of the fuel-cell systems.

Mercedes-Benz Cars & Vans is pursuing ambitious climate-related goals

As part of our sustainable business strategy, Mercedes-Benz Cars & Vans has set itself the following goals:

— CO_2 neutrality for its new fleet by 2039: This applies to all the stages of automotive value creation – from the supply chain to production, the vehicle use phase, and vehicle disposal and recycling.

— Plug-in hybrids or all-electric vehicles will account for more than 50 percent of our car and van sales by 2030. This transformation will take place in a number of stages: Between now and 2022, we want to offer our customers a variety of electrified alternatives in every segment, ranging from smarts to transporters. Depending on how circumstances develop, we at Mercedes-Benz Cars want the proportion of all-electric vehicles to increase to up to 25 percent of our total sales by 2025.

— At Mercedes-Benz AG we also plan to reduce the greenhouse gas emissions of the new vehicle fleet during the vehicle use phase (well-to-wheel) by more than 40 percent relative to 2018 by 2030. This target has been confirmed by the Science Based Targets Initiative.

Reaching CO_2 neutrality as a team
At Mercedes-Benz AG, an interdisciplinary team consisting of environmental experts, buyers, developers, logistics specialists, production specialists, strategists, and sales experts monitor and manage CO_2 emissions in order to reach the goal of having a CO_2-neutral new-car fleet by 2039.

The Corporate Environmental Protection unit, for example, calculates the CO_2 emissions of all model series and all drive types at Mercedes-Benz Cars and conducts environmental and life cycle assessments for the vehicles. The Mercedes-Benz procurement unit works together with more than 2,000 direct suppliers so that it can also identify potential environmental risks in the supply chain and use targeted measures to minimize them. At the logistics unit, the routes for unavoidable goods transfers have to be optimized and the best mode of transport has to be used for each trip. That's the only way to reduce the emissions that are generated during goods delivery, sales operations, and shipment to distribution centers. Because most CO_2 emissions are generated during the use phase of a vehicle, CO_2 strategists are also important members of the team. These experts are responsible for the tank-to-wheel phase of a vehicle's life cycle, and through their know-how they help reduce the CO_2 emissions generated during driving operation. The working group also addresses the development of additional levers, such as CO_2-neutral production and a sustainable charging concept for Mercedes customers. Together, the members of the team are helping to ensure the successful decarbonization of Mercedes-Benz vehicles.

We have also prepared ourselves for the fuel emissions trade in Germany
Since the beginning of 2021, Germany has also had a legally prescribed fuel emissions trading process that complements the European emissions trading scheme. The new Fuel Emissions Trading Act (BEHG) has introduced CO_2 pricing as part of a national emissions trading process for amounts that are not already subject to the EU Emissions Trading Scheme (EU ETS). The law applies to the heating and transportation sectors in particular. This means that we must acquire certificates for the fossil energy carriers we use that are not subject to the EU ETS.

In order to adapt to this new legislation, Daimler informed the locations and the responsible in-house managers about the legal requirements and the new tasks connected with them. In order to avoid double burdens arising from the European and the national emissions trade, we need to prove that a plant is already subject to the EU ETS, for example. Together with our fuel suppliers, we have therefore adapted our invoicing procedures and installed meters to provide the corresponding verification if it is needed. We have also implemented the corresponding processes for trading these certificates at Daimler.

Transport logistics are helping to protect the climate

Our global transport logistics operations currently serve 75 manufacturing plants in around 30 countries and about 8,500 retailers in almost every part of the world. We transported around 2.7 million vehicles worldwide in 2020. In addition, almost 4.5 million tons of production materials were transported within Europe in the first half of 2020 alone. Our global transport volume amounted to around 350,000 standard containers of sea freight and about 120,000 tons of air freight. The measures taken against the global covid-19 pandemic caused a 15 percent decrease in this volume relative to 2019.

We are working hard to optimize our logistics network in order to reduce the associated CO_2 emissions. Our main goal is to optimally connect transportation hubs with one another so as to reduce the distances traveled and utilize capacity more efficiently. Innovative transportation concepts and new modes of transport also play a major role here.

We select logistics concepts not only on the basis of their costs, duration, and transport quality, but also according to their CO_2 emissions. When selecting providers of logistics services, we also take sustainability criteria into account – ranging from environmental certificates and the use of environmentally compatible equipment to the utilization of low-emission trucks that meet the latest Euro emissions standards.

Mercedes-Benz Cars is continually working to optimize its global logistics network. In particular, the company is steadily increasing the volumes it transports via the railroad network and focusing on sustainable and digitalized innovations. In its implementation efforts, Mercedes-Benz Cars is now taking the next step toward CO_2-neutral mobility: At the beginning of 2020, Mercedes-Benz cooperated with its logistics partner DB Cargo to switch the transport logistics to a CO_2-free energy supply. From now on, the production material for the Mercedes-Benz car plants in Germany and the plant in Kecskemét (Hungary) will be transported in trains powered by green electricity. The volume of these rail shipments is the equivalent of about 270 truckloads per day, which do not need to be transported by road.

The green electricity that is used for rail shipments in Germany and Austria is supplied exclusively by local sources of renewable energy. Today it is mainly generated by hydroelectric power plants.

In addition to the focus on reducing greenhouse gas emissions, activities to reduce traffic volume, waste generation, and energy demand were also pursued.

In this connection we also launched a pilot project for reducing the greenhouse gases generated by local transportation at the production locations. The first plant to participate was that in Kecskemét. Starting in May 2020, a fleet of seven Mercedes-Benz Actros trucks has been using only an alternative fuel (HVO diesel) as they complete their seven daily rounds of up to 100 deliveries. As a result, the plant was already able to reduce its CO_2 footprint by at least 58 tons (this corresponds to approximately the amount of emissions that would have been generated by a megatrailer driving 15 times the distance between Madrid and Moscow using conventional diesel fuel).

The aim of this pilot project is to let the findings from the test operations flow into the CO_2 reduction strategy of other plants.

How we assess the effectiveness of our management approach

GRI 103-3

On the road to CO_2-neutral production, we have already achieved success in a number of areas. In 2019 we already reached the long-term CO_2 reduction targets we had wanted our production operations to reach by 2020. In 2020 Mercedes-Benz AG reduced its CO_2 emissions by 18 percent relative to the previous year partly thanks to a variety of efficiency-boosting measures to decrease greenhouse gas emissions in production processes. These are systematically documented in a Group database that is used to control progress toward Group-wide goals. Greenhouse gas emissions were also reduced by 20 percent at Trucks & Buses.

Mercedes-Benz AG and Daimler Truck AG have set new future goals for themselves as part of their “Ambition 2039” and as an expression of their commitment to the Paris Agreement on climate protection.

Climate protection goals for our plants

We use internal and external tools to monitor the progress we are making toward the climate protection goals we have set for our production plants. We use the results of our reviews to adapt and refine our climate protection measures. Mercedes-Benz AG and Daimler Truck AG have defined the parameters for in-house reviews, and they monitor these parameters by means of a scorecard. We have commissioned an auditing company to conduct the external review. This company annually evaluates a selected number of our corporate goals and their implementation.

17 | CO_2 emissions from energy consumption (in 1,000 t)*

GRI 305-1/-2

	2016	2017	2018	2019	**2020**
CO_2 direct (Scope 1)	1,056	1,192	1,247	1,239	**1,027**
CO_2 indirect (Scope 2) - market-based	1,882	1,763	1,687	1,276	**1,035**
CO_2 indirect (Scope 2) - location-based	2,141	2,041	1,985	1,706	**1,492**
Total - market-based	**2,938**	**2,955**	**2,934**	**2,516**	**2,062**
Total - location-based	**3,197**	**3,233**	**3,232**	**2,946**	**2,519**

* Since 2016, the “market-based” and “location-based” accounting approaches have been implemented in accordance with GHG Protocol Scope 2 Guidance. Since then, the market-based approach has been the standard accounting approach. The historical data for 2006–2015 were calculated using a method similar to the location-based approach.

18 | Specific CO_2 emissions (in kg/vehicle)*

GRI 305-1/-2

	2016	2017	2018	2019	**2020**
Cars – CO_2 direct (Scope 1)	245	250	267	279	**326**
Cars – CO_2 indirect (Scope 2) – market-based**	611	565	562	431	**426**
Total – Cars – Scope 1 & 2	**856**	**815**	**829**	**711**	**752**
Trucks*** – CO_2 direct (Scope 1)	746	663	629	676	**742**
Trucks*** – CO_2 indirect (Scope 2) – market-based**	1,286	1,084	933	834	**954**
Total – Trucks – Scope 1 & 2	**2,032**	**1,747**	**1,561**	**1,510**	**1,696**
Vans – CO_2 direct (Scope 1)	372	340	355	346	**333**
Vans – CO_2 indirect (Scope 2) – market-based**	201	157	196	160	**147**
Total – Vans – Scope 1 & 2	**573**	**497**	**551**	**506**	**479**
Buses – CO_2 direct (Scope 1)	1,408	1,177	977	1,083	**1,471**
Buses – CO_2 indirect (Scope 2) – market-based**	1.421	1,059	948	911	**1,245**
Total – Buses – Scope 1 & 2	**2,829**	**2,236**	**1,924**	**1,994**	**2,716**

* Excluding CO_2 from liquid fuels
** Since 2016, the “market-based” and “location-based” accounting approaches have been implemented in accordance with GHG Protocol Scope 2 Guidance.
*** Reman scopes have no longer been taken into account in the Trucks division since 2020.

Air quality: Better technologies comply with more stringent limits

GRI 103-1

Our corporate responsibility as an automaker includes our efforts to bring individual mobility, climate protection, and air quality into harmony. This is because road traffic still accounts for a considerable share of air pollution, especially in the vicinity of streets and roads. As a result, the air quality in cities is an important focus of our sense of responsibility for the environment. Legislators all over the world have set standards for emissions in order to regulate the emission of harmful substances such as nitrogen oxides (NO_x) and particulates and to reduce air pollution. These emission limit values have become ever more stringent over the past few years. In order to remain below these limit values today and in the future, we are continuously developing our technologies.

In addition to vehicle emissions, we are also paying attention to the airborne emissions of our production plants. Lowering the airborne emissions from our plants is a constant task and a challenge – for our plant and facility planning teams and our daily operations. Volatile organic compounds (VOCs) are especially important in this regard, in particular those produced in our paint shops. Other significant air pollutants include the nitrogen oxide and sulfur oxide emissions from our furnaces and energy generation systems, as well as particulate matter released by the welding smoke exhaust units in our bodyshell areas and by our energy generation systems.

How we plan to improve the air quality in cities

GRI 103-2

Plans call for our new vehicle fleet to no longer have any relevant impact on NO_2 emissions in urban areas by 2025. Another one of our aims is to forge ahead with the development of new measures for reducing particulate emissions.

New diesel engines comply with stricter limit values

A reduction of NO_x emissions is made possible by an innovative overall package consisting of the engine and the exhaust gas aftertreatment system. This package is being continuously enhanced and has been systematically launched on the market in the new engine generation encompassing the OM 654 and 656. The company has invested approximately €3 billion in development and production for this purpose. Vehicles equipped with the new engines also generate low NO_x emissions in real driving operation. On many journeys using the Real Driving Emissions (RDE) measuring process, they actually record values that are significantly lower than the current laboratory threshold limit of 80 milligrams per kilometer. Vehicles equipped with the latest generation of diesel engines achieve average NO_x values of around 20 to 30 milligrams per kilometer in long-term operation over many thousands of kilometers under RDE conditions.

Updating the fleet with new diesel vehicles certified according to the Euro 6d-TEMP or Euro 6d standards is a very effective measure to further reduce NO_x emissions in road traffic. At Mercedes-Benz Cars, the entire new car fleet for Europe has been certified according to the Euro 6d-TEMP standard or better since June 2019 and according to Euro 6d since the fall of 2020. This was made possible by the expanded exhaust gas aftertreatment system using an additional underfloor SCR catalytic converter, as well as other measures.

We are implementing a plan of concrete measures

In addition to the previously mentioned introduction of vehicles that fulfill the more stringent emissions limit values as part of the RDE requirements, we are implementing a series of additional measures to further improve air quality.

A software update that reduces nitrogen oxide emissions
Overall, Daimler is developing software updates for almost the entire fleet of Euro 6b and Euro 5 diesel vehicles in Europe. These updates reduce the nitrogen oxide emissions of the vehicles in real driving operation by 25 to 30 percent on average.

As early as 2017, Daimler announced that it would offer voluntary service measures that include software updates for several million diesel vehicles in Europe. Daimler has also been carrying out obligatory recalls – during which software updates are also applied – at the order of Germany's Federal Motor Transport Authority (KBA) since 2018.

The recalls at the order of the KBA apply to a number of vehicle models (cars and vans) that comply with the Euro 6b or Euro 5 emission standards. The voluntary service measure for vehicles that are not included in the recall is continuing as planned.

We are promoting hardware retrofitting in priority regions
In the previously defined priority regions, we are participating in a hardware retrofit program for diesel vehicles that was initiated by the German federal government. Specifically, Daimler has agreed to provide a financial subsidy of up to €3,000 (gross) per vehicle for hardware retrofitting if certain conditions are met. The hardware retrofitting must be developed and offered by a third-party supplier and approved by the German Federal Motor Transport Authority (KBA). In the summer of 2019, the KBA approved retrofitting solutions for various vehicle models. The retrofitted vehicles must comply with the NO_x limit value of 270 mg/km in real driving operation under specific conditions. The aim is to guarantee a significant decrease of the retrofitted vehicles' NO_x emissions in permanent operation.

To make it as easy and efficient as possible for our customers to apply for the Daimler grant, we have set up a ↗ special website for this purpose. Interested parties visit this website in order to find out whether they fulfill the precise requirements for receiving the grant. Customers can also use this website to request payment of the grant after the approved retrofit hardware has been installed.

by KPMG AG Wirtschaftsprüfungsgesellschaft and given an unqualified opinion.

↗ Further information can be found in the Annual Report 2020

Employee data
The facts and figures in the Employees section correspond to the facts and figures in the Daimler Annual Report 2020. The reporting on human resources data is based mainly on the "HR ePARS" electronic human resources planning and reporting tool, which combines the data of all consolidated companies within the Daimler Group. This information is supplemented by data collected using the electronic human resources management systems "ePeople" and "HR EARTH." The texts and diagrams in this section indicate whether the data refers to the entire Group or only to parts thereof.

Data collection on corporate environmental protection
The data in this report reflects the structure of the Group in the reporting year 2020. This structure includes all the production plants of which the Daimler Group is a majority shareholder, as well as the German and European locations of the logistics, service, and sales units. It does not include the locations of Daimler Financial Services. For this reason, the timelines may differ from those of previously published data. New locations are taken into account from the date of commencement of series production. The environmental data for 2020 refers to a total of 72 production sites and satellite sites as well as four locations in the areas of research and development, logistics, and sales.

Specific environmental and energy data
Resource consumption and emissions are largely dependent on the number of units produced. This is why we calculate specific values for the individual divisions. For this purpose, the number of vehicles of the division manufactured in the consolidated plants is related to the corresponding data of the production plants. We measure the specific values of the Cars, Trucks, Vans, and Buses units according to the divisional allocation that has been in force since 2006. This distribution was calculated back into the past as far as possible in order to obtain consistent timelines. The specific data gained in this way can only serve as general benchmarks, because it does not take into account the different ways in which the vertical integration of production has developed, the diversity of products, or the special features of the production network, which in some cases extends across divisions.

Editorial note

GRI 102-51/-52

Our last Sustainability Report was published on April 22, 2020, under the title "SpurWechsel – We Are Changing Lanes: Sustainability Report 2019". The current Sustainability Report was published on March 29, 2021, under the title "SpurWechsel – We're Changing Lanes: Sustainability Report 2020." Our next report is scheduled for March/April 2022.

Forward-looking statements

This document contains forward-looking statements that reflect our current views about future events. The words "anticipate," "assume," "believe," "estimate," "expect," "intend," "may," "can," "could," "plan," "project," "should" and similar expressions are used to identify forward-looking statements. These statements are subject to many risks and uncertainties, including an adverse development of global economic conditions, in particular a decline of demand in our most important markets; a deterioration of our refinancing possibilities on the credit and financial markets; events of force majeure including natural disasters, pandemics, acts of terrorism, political unrest, armed conflicts, industrial accidents and their effects on our sales, purchasing, production or financial services activities; changes in currency exchange rates and tariff regulations; a shift in consumer preferences towards smaller, lower-margin vehicles; a possible lack of acceptance of our products or services which limits our ability to achieve prices and adequately utilize our production capacities; price increases for fuel or raw materials; disruption of production due to shortages of materials, labor strikes or supplier insolvencies; a decline in resale prices of used vehicles; the effective implementation of cost-reduction and efficiency-optimization measures; the business outlook for companies in which we hold a significant equity interest; the successful implementation of strategic cooperations and joint ventures; changes in laws, regulations and government, policies, particularly those relating to vehicle emissions, fuel economy, and safety; the resolution of pending government investigations or of investigations requested by governments and the conclusion of pending or threatened future legal proceedings; and other risks and uncertainties, some of which we describe in the Annual Report in the section titled "Risk and Opportunity Report". If any of these risks and uncertainties materializes or if the assumptions underlying any of our forward-looking statements prove to be incorrect, the actual results may be materially different from those we express or imply by such statements. We do not intend or assume any obligation to update these forward-looking statements since they are based solely on the circumstances at the date of publication.

Contact for the report

GRI 102-53

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How we calculate and document our CO_2 emissions

Daimler calculates and documents its CO_2 emissions in accordance with the 2004 Corporate Accounting and Reporting Standard of the Greenhouse Gas Protocol Initiative (Scopes 1 to 3). Scope 1 and Scope 2 emissions are reported in accordance with the Control approach of the GHG Protocol.

Documented are all direct CO_2 emissions from our company's own sources (Scope 1), indirect emissions resulting from the generation of the purchased electricity and district heat (Scope 2), and emissions resulting from the use of our products, from the supply chain, and from recycling (Scope 3). Thus we also take into account the emissions produced before and after our own activities.

Scope 1: We calculate our direct emissions from the combustion of fuels, heating oil, natural gas, liquefied petroleum gas, and coal with fixed CO_2 emission factors as specified by the World Business Council for Sustainable Development (WBCSD) or the German Emissions Trading Office, DEHSt. From 2017 on, this calculation has also included the fuel consumption of Daimler's own vehicles. It takes into account those vehicles whose fuel consumption is recorded using an in-house invoicing system. Vehicles that are not currently recorded by the system are being integrated into the recording process by means of location-related queries.

Because we primarily consume fuels for non-production purposes (including company vehicles, test stands), we still do not consider the fuels for our production-related goals (energy, CO_2). For this reason, the specific energy consumption and CO_2 emissions (measured per vehicle produced) that constitute the basis for our production-related targets are published without fuel consumption.

Scope 2: We calculate the indirect emissions of district heating and electricity from external sources, differentiated by time and region. Since 2016, accounts of CO_2 emissions have been balanced using the separate accounting approaches "market-based" and "location-based." This calculation is based on the new guideline of the Greenhouse Gas Protocol Initiative for determining Scope 2 emissions, which was published in 2015. For the assessment of "market-based" emissions, we determine the CO_2 emission factors of the local electricity rates or power companies at our worldwide locations. Where such information is not available, we continue to use the current average emission factor published by the International Energy Agency (IEA) for the country in question or according to the Environmental Protection Agency (EPA) for the United States. For the sake of comparison, we also publish the CO_2 emissions of all our locations according to the "location-based" method, which takes only country-specific emission factors into account.

Scope 3: We calculate the CO_2 emissions generated by the use of our products on the basis of our sales figures and the average fleet consumption values. For this calculation, we assume that each car is driven 20,000 kilometers per year for ten years. Additional indirect CO_2 emissions from the supply chain (purchased goods and services) or from the recycling of vehicles are calculated on the basis of vehicle-specific life cycle assessments.

We do not currently calculate the figures for other greenhouse gases across the Group. As the balancing of accounts of climate-relevant coolants in the German plants shows, the emissions from such refrigerants account for only a negligible amount.

KPMG AUDITOR'S REPORT

Assurance Report of the Independent Auditor regarding Sustainability Information[1]

To the legal representatives of Daimler AG, Stuttgart

We have performed an independent assurance engagement on selected qualitative and quantitative sustainability disclosures in the Sustainability Report 2020 (further "Report") for the business year from January 1 to December 31, 2020 of Daimler AG, Stuttgart (further "Company" or "Daimler").

For the selected qualitative and quantitative sustainability disclosures CO_2 emissions (scope 1, scope 2 and scope 3), energy consumption, waste, water withdrawal and the information on corporate citizenship as well as the qualitative disclosures in the appendix „How we calculate and document our CO_2 emissions" (further "sustainability disclosures") a limited assurance engagement was performed.

For the selected quantitative sustainability indicators CO_2 emissions of total passenger car fleet in Europe 2020, GHG fleet figures for CO_2 emissions of 2020 model year (passenger car and light trucks) in the USA and fleet consumption value China (import) 2020 in l/100km (further "sustainability indicators"), a reasonable assurance engagement was performed.

Responsibility of the legal representatives

The legal representatives of Daimler are responsible for the preparation of the Report in accordance with the Reporting Criteria. Daimler's Report applies the principles and standard disclosures of the Global Reporting Initiative (GRI) Sustainability Reporting Standards, the Corporate Accounting and Reporting Standard (Scope 1 and 2) and the Corporate Value Chain (Scope 3) Standard of the Greenhouse Gas Protocol Initiative by the World Resources Institute and the World Business Council for Sustainable Development, in combination with internal guidelines, as Reporting Criteria (further: "Reporting Criteria").

The responsibility includes the selection and application of appropriate methods to prepare the Report and the use of assumptions and estimates for individual qualitative and quantitative sustainability disclosures, which are reasonable under the circumstances. Furthermore, this responsibility includes designing, implementing and maintaining systems and processes relevant for the preparation of the Report in a way that is free of – intended or unintended – material misstatements.

Practitioner's Responsibility

Our responsibility is to express a conclusion based on our work performed within the assurance engagement on the sustainability indicators and the sustainability disclosures described above.

We conducted our work in accordance with the International Standard on Assurance Engagements (ISAE) 3000 (Revised): "Assurance Engagements other than Audits or Reviews of Historical Financial Information", published by IAASB.

This standard requires that we plan and perform the assurance engagement to obtain limited assurance whether any matters have come to our attention that cause us to believe that the above-mentioned sustainability disclosures of the entity for the business year January 1 to December 31, 2020 have not been prepared, in all material respects, in accordance with the Reporting Criteria. We do not, however, issue a separate conclusion for each disclosure. As the assurance procedures performed in a limited assurance engagement are less comprehensive than in a reasonable assurance engagement, the level of assurance obtained is substantially lower. The choice of assurance procedures is subject to the auditor's own judgement.

Furthermore, we have to comply with our professional duties and to plan and perform the assurance engagement in such a way that we, respecting the principle of materiality, reach our conclusion with a reasonable level of assurance on the above-mentioned sustainability indicators. The assurance of the sustainability indicators encompasses the performance of assurance procedures to obtain evidence for the information included in the Report. The choice of assurance procedures is subject to the auditor's own judgement.

Within the scope of our engagement, we performed amongst others the following procedures when conducting the limited assurance:

- An evaluation of the process for determining material aspects and respective boundaries, including results of Daimler's stakeholder engagement.
- A risk analysis, including a media search, to identify relevant sustainability aspects for Daimler in the reporting period.
- Interviewing management at corporate level responsible for sustainability performance goal setting and monitoring process.
- Evaluation of the design and implementation of the systems and processes for the collection, processing and control of the data on sustainability performance indicators, including the consolidation of the data.
- Interviews with relevant staff at corporate level responsible for providing the data, carrying out internal control procedures and consolidating the data.
- Analytical evaluation of data and trends of quantitative information which are reported by all sites on group level.

1 Our engagement applied to the German version of the Report 2020. This text is a translation of the Independent Assurance Report issued in German, whereas the German text is authoritative.